

Service Strategy Overview



Service Strategy and Competitiveness: Development of Strategic Service Vision (SSV), DataEnvelopment Analysis
 New Service Development: NSD cycle, Service Blueprinting, Elements of service delivery system
 Service Design: Customer Journey and Service Design, Design Thinking methods to aid ServiceDesign
 Locating facilities and designing their layout: models of facility locations (Huff's retail model), Roleof service-scape in layout design
 Service Quality: SERVQUAL, Walk through Audit, Dimensions of Service quality & other quality tools
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Here's a concise study note on the topics you listed:

1. Service Strategy and Competitiveness

Strategic Service Vision (SSV)

Strategic Service Vision provides a framework for designing and managing services effectively.

Components of SSV

1. Target Market Segment

- Identifies customers to be served.
- Understands customer needs and expectations.

2. Service Concept

- Defines benefits offered to customers.
- Specifies how customer needs will be met.

3. Operating Strategy

- Determines resources, processes, and technologies used.

4. Service Delivery System

- Specifies how services are delivered.
- Includes employees, facilities, and technology.

Importance

- Creates competitive advantage.
- Aligns service operations with business goals.
- Improves customer satisfaction.

Data Envelopment Analysis (DEA)

DEA is a quantitative method used to measure the efficiency of decision-making units (DMUs) such as banks, hospitals, hotels, etc.

Efficiency Formula

$$\text{Efficiency} = \frac{\text{Weighted Outputs}}{\text{Weighted Inputs}}$$

Features

- Compares multiple units.
- Handles multiple inputs and outputs.
- Identifies best-performing units.

Applications

- Hospital performance evaluation
- Bank branch efficiency
- Educational institution assessment

2. New Service Development (NSD)

NSD Cycle

1. Idea Generation
2. Idea Screening
3. Business Analysis
4. Service Design
5. Process and System Design
6. Testing and Pilot Run
7. Commercial Launch
8. Post-launch Evaluation

Benefits

- Reduces failure risk.
- Improves customer satisfaction.
- Supports innovation.

Service Blueprinting

A visual representation of the service process showing customer interactions and supporting activities.

Components

1. Customer Actions
2. Front-stage (Visible Employee Actions)
3. Back-stage (Invisible Employee Actions)
4. Support Processes
5. Physical Evidence

Advantages

- Identifies bottlenecks.
 - Improves service quality.
 - Enhances process understanding.
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Elements of Service Delivery System

People

- Employees
- Customers

Processes

- Procedures and workflows

Physical Evidence

- Facilities
- Equipment
- Environment

Technology

- Websites
 - Apps
 - Automated systems
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3. Service Design

Customer Journey

The complete experience a customer has with a service.

Stages

1. Awareness
2. Consideration
3. Purchase
4. Service Experience
5. Post-Service Support
6. Loyalty

Benefits

- Identifies pain points.
 - Improves customer experience.
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Design Thinking Methods

1. Empathize

Understand customer needs.

2. Define

Clearly state the problem.

3. Ideate

Generate possible solutions.

4. Prototype

Create sample solutions.

5. Test

Evaluate with users and improve.

Advantages

- User-centered innovation.
- Better service experiences.
- Faster problem solving.

4. Locating Facilities and Designing Their Layout

Facility Location

Determines the best place to establish service facilities.

Objectives

- Minimize costs.
- Maximize accessibility.
- Improve customer convenience.

Huff's Retail Location Model

Used to estimate the probability of customers choosing a particular retail outlet.

Formula

$$P_{ij} = \frac{S_j / T_{ij}^\lambda}{\sum_k S_k / T_{ik}^\lambda}$$

Where:

- P_{ij} = Probability customer i chooses store j
- S_j = Store attractiveness (size, variety, etc.)
- T_{ij} = Travel time/distance
- λ = Distance sensitivity parameter

Applications

- Retail site selection
- Shopping mall planning
- Market analysis

Role of Servicescape in Layout Design

Servicescape refers to the physical environment where service is delivered.

Elements

1. Ambient Conditions

- Lighting

- Temperature

- Music

2. Spatial Layout

- Equipment arrangement
- Seating design

3. Signs and Symbols

- Direction boards
- Branding

Benefits

- Influences customer behavior.
- Improves service perception.
- Enhances employee productivity.

5. Service Quality

SERVQUAL Model

Developed by A. Parasuraman, Valarie Zeithaml, and Leonard Berry.

Measures service quality by comparing:

Service Quality = Expectations – Perceptions

Five Dimensions (RATER)

Dimension	Meaning
Reliability	Performing service accurately and dependably
Assurance	Employee knowledge and trustworthiness
Tangibles	Physical facilities and equipment
Empathy	Individualized customer care
Responsiveness	Prompt service and willingness to help

Gap Model

Quality problems arise when there is a gap between customer expectations and perceptions.

Walk-Through Audit (WTA)

A technique used to evaluate service quality by experiencing the service from a customer's perspective.

Steps

1. Map customer journey.
2. Observe service encounters.
3. Identify service failures.
4. Recommend improvements.

Benefits

- Detects customer pain points.
 - Improves service delivery.
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Dimensions of Service Quality

1. Reliability
2. Responsiveness
3. Assurance
4. Empathy
5. Tangibles

These are the core SERVQUAL dimensions.

Other Service Quality Tools

1. Fishbone Diagram (Cause-and-Effect)

Identifies root causes of service problems.

2. Pareto Analysis

Based on the 80/20 principle.

3. Control Charts

Monitor service process performance.

4. Benchmarking

Comparison with best-performing organizations.

5. Customer Satisfaction Surveys

Collect customer feedback directly.

6. Mystery Shopping

Evaluates service through anonymous customers.

Quick Exam Points

- **SSV Components:** Target Market, Service Concept, Operating Strategy, Service Delivery System.
- **DEA:** Measures relative efficiency of service units.
- **NSD Cycle:** Idea → Screening → Analysis → Design → Testing → Launch.
- **Service Blueprint:** Customer actions, front-stage, back-stage, support processes.
- **Design Thinking:** Empathize → Define → Ideate → Prototype → Test.
- **Huff Model:** Predicts store choice probability.
- **Servicescape:** Physical environment affecting customer experience.
- **SERVQUAL Dimensions:** Reliability, Assurance, Tangibles, Empathy, Responsiveness (RATER).
- **Walk-Through Audit:** Customer-perspective service evaluation.